NOMURA

First Tractor 601038.SH 601038 CH

Global Markets Research
23 July 2026

EQUITY: Machinery and Equipment

Recovery on bigger tractors and broader markets

Product mix upgrade and cost discipline should drive earnings growth ahead of revenue

Initiate coverage at Buy with a TP of CNY16.21, implying 18.7% upside

We believe domestic agricultural machinery demand remains soft, amid intense competition in low- and mid-horsepower tractors, though demand for larger models remains resilient. As First Tractor shifts toward higher-horsepower and intelligent products while expanding overseas, we forecast revenue/net profit CAGRs of 6.90%/12.48% in 2026-28F. A richer mix of higher-margin large and intelligent products, plus value-chain cost discipline, should drive earnings growth ahead of revenue, in our view. We value First Tractor at 20x 2026F P/E, broadly in line with its five-year P/E average. Based on 2026F EPS of CNY0.81, we derive a TP of CNY16.21, implying 18.7% upside, and initiate at Buy. Over the month to 20 Jul 2026, the stock has outperformed the CSI 300 by 29.3pp, which we attribute mainly to improving market expectations for the 1H26 results, and a market rotation to lower-valuation sectors as risk appetite softened. Currently the stock trades at 16.9x 2026F P/E. **Key catalysts:** better margin recovery in the 1H26 results, the autumn harvest buying season and agricultural machinery subsidy rollout. **Key downside risks:** weaker domestic demand, more intense price competition, slower overseas expansion and delays in high-end product development.

Exports offer a new growth driver amid global demand tailwinds

We believe rising global food demand, tighter labor supply and technology upgrades should support longer-term global demand, against near-term domestic demand headwinds. Research and Markets forecasts the global agricultural machinery and equipment market to expand from USD183.87bn in 2026 to USD256.99bn by 2032, implying a CAGR of 5.70%. According to First Tractor's IR activity record, its overseas distribution network progressed from initial build-out to scaled expansion and quality enhancement during the 14th Five-Year Plan period. Its overseas revenue grew at a CAGR of nearly 23% in 2021-25 and contributed 11% of total revenue in 2025. Supported by the export synergies with other SINOMACH companies, we forecast the company's overseas mix to reach 14% by 2028F and contribute c.26% of total incremental revenue over 2026-28F.

Higher-horsepower and intelligent products to support better margins

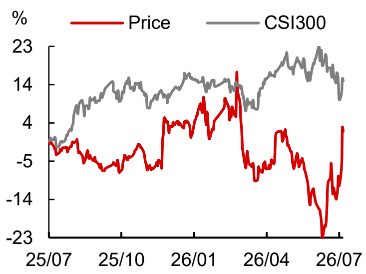
We see domestic tractor demand diverging by horsepower, with larger tractors outperforming smaller models. According to First Tractor's 2025 annual report, it has built a high-end tractor portfolio spanning 220-450hp and continues to advance continuously variable transmission, full powershift and intelligent-driving technologies. While the company's tractor sales fell from 72.4k units in 2023 to 63.7k in 2025, our estimates suggest the ASP rose from CNY146.0k to CNY155.2k, driven by a richer mix of high-horsepower and intelligent products, as pricing rises with horsepower and product sophistication. Despite domestic promotional and pricing pressures, the company's GPM grew by 0.37pp/0.63pp y-y to 15.15%/16.54% in 2025/1Q26, mainly on mix upgrade and cost discipline. We expect the company's high-end and high-horsepower products to further benefit from larger-scale farming and drive the blended GPM up from 15.1% in 2025 to 16.0% in 2028F.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	10,823		11,501		12,318		13,222
Reported net profit (mn)	812		911		1,028		1,155
Normalised net profit (mn)	708		806		924		1,051
FD normalised EPS	0.63		0.72		0.82		0.94
FD norm. EPS growth (%)	-18.4		13.9		14.5		13.8
FD normalised P/E (x)	21.7		19.0		16.6		14.6
EV/EBITDA (x)	14.3		9.8		8.3		7.0
Price/book (x)	2.1		1.9		1.7		1.6
Dividend yield (%)	1.9		2.2		2.5		2.8
ROE (%)	10.6		11.1		11.6		12.0
Net debt/equity (%)	net cash		net cash		net cash		net cash

Source: Wind, company data, Nomura estimates

Rating Starts at	**Buy**
Target price Starts at	**CNY 16.21**
Closing price 22 Jul 2026	**CNY 13.66**
Implied upside	**+18.7%**
Market Cap (USD mn)	2,259.4
ADT (USD mn)	13.4

Relative performance chart



Source: Gildata

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This document is an English translation of the original Chinese report released on 23 July 2026 by Nomura Orient International Securities Co., Ltd. in the People's Republic of China. In case of any discrepancy between the English translation and the Chinese original, the Chinese version shall prevail.

Production Complete: 2026-07-23 12:52 UTC

See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on First Tractor

Performance

(%)	1M	3M	12M		
Absolute (CNY)	22.5	7.8	0.1	M cap (USDmn)	2,259.4
Absolute (USD)	22.9	8.9	5.3	Free float (%)	16.2
Rel to CSI 300	29.3	9.5	-14.5	3-mth ADT (USDmn)	13.4

Source: Gildata

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	11,904	10,823	11,501	12,318	13,222
Cost of goods sold	-10,145	-9,183	-9,719	-10,377	-11,113
Gross profit	1,759	1,639	1,782	1,941	2,109
SG&A	-1,076	-1,101	-1,135	-1,179	-1,246
Employee share expense					
Operating profit	1,046	918	988	1,126	1,279
EBITDA	1,141	1,009	1,340	1,455	1,566
Depreciation	-333	-336	-360	-340	-311
Amortisation					
EBIT	808	673	980	1,115	1,255
Net interest expense	44	-1	18	23	37
Associates & JCEs	0	0	0	0	0
Other income	325	399	333	352	391
Earnings before tax	1,052	936	998	1,137	1,292
Income tax	-121	-76	-70	-80	-96
Net profit after tax	931	860	928	1,058	1,196
Minority interests	-9	-48	-18	-30	-41
Other items	0	0	0	0	0
Preferred dividends					
Normalised NPAT	867	708	806	924	1,051
Extraordinary items	55	104	104	104	104
Reported NPAT	922	812	911	1,028	1,155
Dividends	-337	-299	-335	-378	-425
Transfer to reserves	585	513	576	650	730
Valuations and ratios					
Reported P/E (x)	18.0	19.6	16.9	14.9	13.3
Normalised P/E (x)	19.2	22.5	19.0	16.6	14.6
FD normalised P/E (x)	17.7	21.7	19.0	16.6	14.6
Dividend yield (%)	2.2	1.9	2.2	2.5	2.8
Price/cashflow (x)	12.6	16.8	13.4	9.9	9.4
Price/book (x)	2.3	2.1	1.9	1.7	1.6
EV/EBITDA (x)	12.8	14.3	9.8	8.3	7.0
EV/EBIT (x)	16.5	20.6	13.5	10.9	8.7
Gross margin (%)	14.8	15.1	15.5	15.8	16.0
EBITDA margin (%)	9.6	9.3	11.7	11.8	11.8
EBIT margin (%)	6.8	6.2	8.5	9.0	9.5
Net margin (%)	7.7	7.5	7.9	8.3	8.7
Effective tax rate (%)	11.5	8.2	7.0	7.0	7.4
Dividend payout (%)	36.5	36.8	36.8	36.8	36.8
ROE (%)	12.7	10.6	11.1	11.6	12.0
ROA (pretax %)	5.7	4.5	6.3	6.8	7.1
Growth (%)					
Revenue	3.2	-9.1	6.3	7.1	7.3
EBITDA	1.3	-11.6	32.8	8.5	7.7
Normalised EPS	-6.4	-18.4	13.9	14.5	13.8
Normalised FDEPS	-6.4	-18.4	13.9	14.5	13.8

Source: Wind, company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,141	1,009	1,340	1,455	1,566
Change in working capital	107	-82	18	318	315
Other operating cashflow	-32	-11	-211	-223	-250
Cashflow from operations	1,216	916	1,147	1,550	1,631
Capital expenditure	-103	-188	-122	-121	-94
Free cashflow	1,113	728	1,025	1,429	1,537
Reduction in investments	-1,385	-1,032	-125	-125	-125
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	165	140	154	160	173
CF after investing acts	-107	-164	1,054	1,464	1,585
Cash dividends	-337	-299	-335	-378	-425
Equity issue	0	0	0	0	0
Debt issue	65	159	50	50	50
Convertible debt issue					
Others	-65	-147	-14	-15	-16
CF from financial acts	-336	-287	-300	-343	-391
Net cashflow	-439	-451	754	1,122	1,193
Beginning cash	2,223	1,785	1,333	2,088	3,209
Ending cash	1,785	1,333	2,088	3,209	4,403
Ending net debt	-1,719	-909	-1,613	-2,684	-3,828

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,785	1,333	2,088	3,209	4,403
Marketable securities	1,939	1,524	1,634	1,744	1,854
Accounts receivable	339	370	364	377	419
Inventories	1,375	1,148	1,203	1,279	1,371
Other current assets	1,988	3,872	3,903	3,923	3,966
Total current assets	7,425	8,247	9,192	10,532	12,013
LT investments	3,953	3,550	3,575	3,600	3,625
Fixed assets	2,409	2,454	2,292	2,120	1,939
Goodwill	0	0	0	0	0
Other intangible assets	676	633	597	561	561
Other LT assets	229	212	201	213	202
Total assets	14,691	15,098	15,857	17,026	18,340
Short-term debt	0	0	0	0	0
Accounts payable	4,695	4,408	4,538	4,876	5,248
Other current liabilities	1,803	1,671	1,657	1,758	1,879
Total current liabilities	6,498	6,078	6,195	6,634	7,127
Long-term debt	66	425	475	525	575
Convertible debt					
Other LT liabilities	349	364	364	364	364
Total liabilities	6,913	6,867	7,033	7,523	8,066
Minority interest	523	570	588	618	659
Preferred stock					
Common stock	1,124	1,124	1,124	1,124	1,124
Retained earnings	3,480	3,879	4,455	5,104	5,834
Proposed dividends					
Other equity and reserves	2,652	2,658	2,658	2,658	2,658
Total shareholders' equity	7,778	8,231	8,824	9,503	10,275
Total equity & liabilities	14,691	15,098	15,857	17,026	18,340

Liquidity (x)

Current ratio	1.14	1.36	1.48	1.59	1.69
Interest cover	-	475.1	-	-	-
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	0.82	0.72	0.81	0.91	1.03
Norm EPS (CNY)	0.77	0.63	0.72	0.82	0.94
FD norm EPS (CNY)	0.77	0.63	0.72	0.82	0.94
BVPS (CNY)	6.46	6.82	7.33	7.91	8.56
DPS (CNY)	0.30	0.27	0.30	0.34	0.38
Activity (days)					
Days receivable	11.1	11.8	11.5	10.8	10.8
Days inventory	51.3	49.4	43.5	43.1	42.9
Days payable	162.8	178.4	165.7	163.3	164.0
Cash cycle	-100.4	-117.2	-110.6	-109.4	-110.2

Source: Wind, company data, Nomura estimates

Company profile

First Tractor has a long-standing presence in agricultural machinery and has developed proprietary core technologies covering powershift transmissions, continuously variable transmissions (CVTs), intelligent driving, and vehicle- and component-level electronic controls. According to its 2025 annual report, the company offers multiple high-end tractor models spanning 220–450hp across three technology platforms - multi-speed powershift, CVT and hybrid power - with performance and reliability at internationally advanced levels.

Valuation Methodology

We apply a 20x target P/E, in line with the stock's five-year average trailing P/E. Applying this multiple to our 2026F EPS of CNY0.81 yields a TP of CNY16.21. The benchmark index for the stock is the CSI 300 Index.

Risks that may impede the achievement of the target price

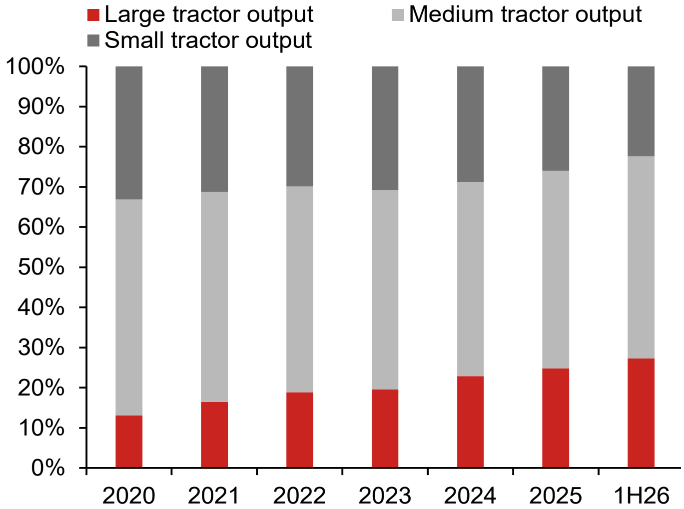
Key downside risks include weaker-than-expected domestic agricultural machinery demand, more intense industry price competition, slower-than-expected overseas expansion and delays in high-end product development.

ESG

According to the company's 2025 ESG Report, First Tractor and three subsidiaries - YTO (Luoyang) Flag Auto-Body Co., Ltd., YTO (Luoyang) Casting and Forging Co., Ltd. and Yangdong Co., Ltd. - are certified to ISO 14001:2015. Environmental protection-related expenditure totaled CNY44.45mn in 2025. The company is systematically improving energy efficiency through technology retrofits and the retirement of outdated equipment. It has embedded climate action in its overall corporate strategy. Guided by green and low-carbon development, the company is transforming its industrial footprint, energy mix, technology pathways and management model to enhance long-term resilience.

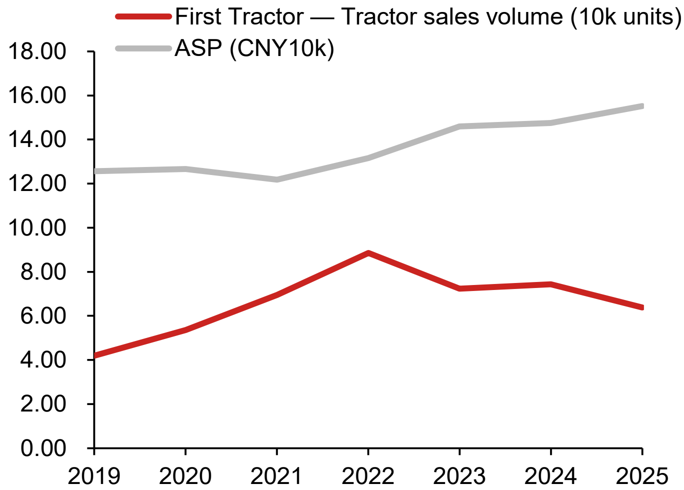
Focus charts

Fig. 1: Large tractors continue to gain share of domestic output, underscoring the shift toward higher horsepower



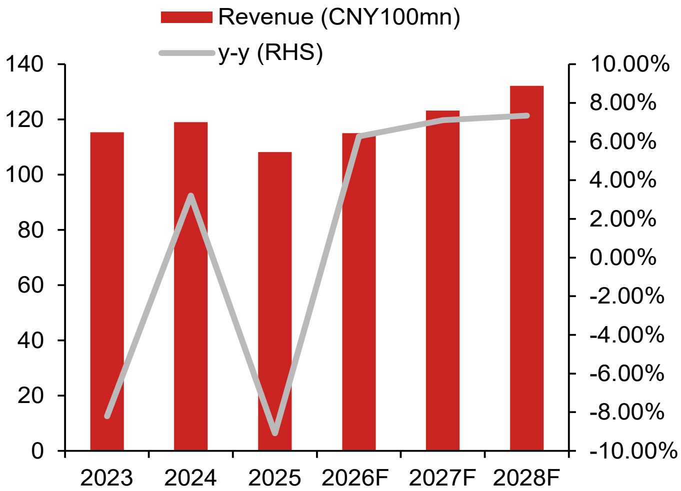
Source: iFind, National Bureau of Statistics, Nomura

Fig. 2: First Tractor — Tractor sales volume declined, while ASP continued to rise



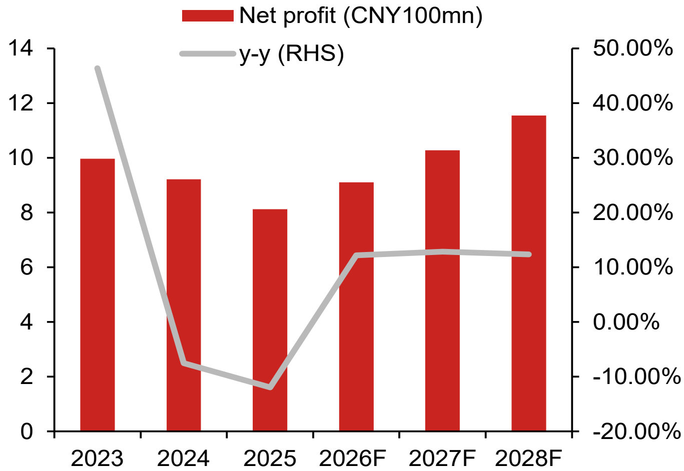
Source: iFind, First Tractor 2019-25 annual reports, Nomura

Fig. 3: First Tractor — We forecast a 6.90% revenue CAGR over 2026-28F



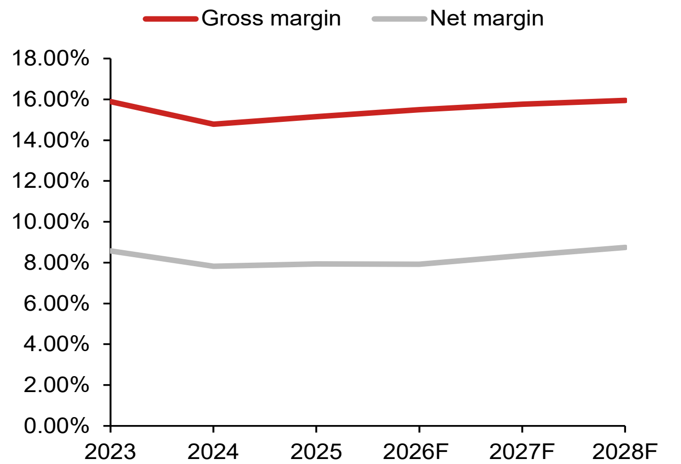
Source: iFind, First Tractor 2023-25 annual reports, Nomura estimates

Fig. 4: First Tractor — We expect earnings to outpace revenue, with a 12.48% CAGR over 2026-28F



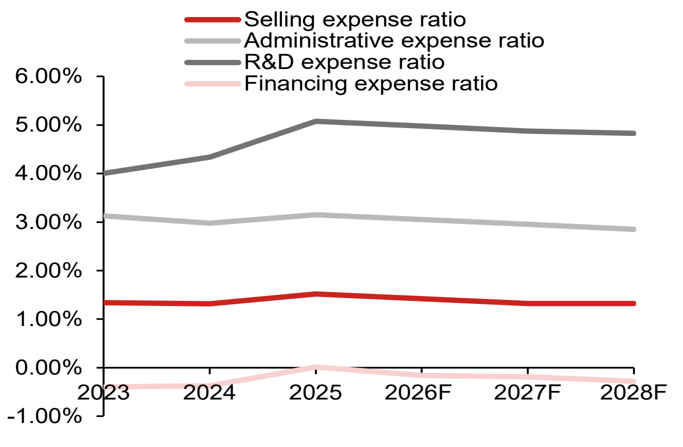
Source: iFind, First Tractor 2023-25 annual reports, Nomura estimates

Fig. 5: First Tractor — We expect margins to improve modestly



Source: First Tractor 2023-25 annual reports, iFind, Nomura estimates

Fig. 6: First Tractor — We expect expense ratios should edge down



Source: First Tractor 2023-25 annual reports, iFind, Nomura estimates

Financial analysis

We are constructive on the earnings upside from the shift toward high-horsepower and high-end products in China, as well as the long-term growth opportunities arising from the expansion of the company's overseas distribution network across multiple regions. We forecast revenues of CNY11,501mn/CNY12,318mn/CNY13,222mn in 2026/27/28F, implying a CAGR of c.6.90%. With the company enhancing cost discipline across the value chain and increasing the mix of higher-margin large and intelligent products, we expect profitability to recover and forecast net profit of CNY911mn/CNY1,028mn/CNY1,155mn in 2026-28F, implying a CAGR of c.12.48%. Our segment revenue and gross margin assumptions are as follows:

- **Agricultural machinery:** This segment mainly comprises tractors across different horsepower bands. Factoring in replacement demand in China driven by policy support and industry upgrading, alongside continued overseas expansion, we assume sales volume growth of 3%/4%/5% y-y in 2026-28F. Tractor pricing generally rises with horsepower and product sophistication. Given the increasing mix of large tractors and high-end intelligent products, we expect ASPs to rise gradually. The increase in our estimated ASP in 2025 also supports this assumption. We therefore assume ASP growth of 3%/3%/2% y-y in 2026/27/28F. Overall, we forecast agricultural machinery revenues of CNY10,495mn/CNY11,242mn/CNY12,041mn in 2026/27/28F. On profitability, given product mix upgrades and value-chain cost reduction and efficiency gains, we expect the segment gross margin to edge up to 14.44%/14.74%/14.94% in 2026/27/28F.
- **Power machinery:** This segment mainly comprises non-road diesel engines. Considering growth in overseas demand and domestic promotional activity, we assume sales volume growth of 2%/2%/5% y-y in 2026/27/28F. We expect ASP to grow by c.2% annually over the same period, driven by overseas expansion and a shift toward higher-horsepower products. We therefore forecast power machinery revenue of CNY2,721mn/CNY2,831mn/CNY3,032mn in 2026/27/28F. On profitability, the segment gross margin declined slightly in 2025, mainly due to intensified competition and heavier promotional activity, in our view. With the company tightening cost control, we assume gross margin improves by 0.2pp annually in 2026-28F.

Expense ratios: The company's value-chain-wide cost controls have delivered meaningful cost reductions and efficiency improvement since 2025, and we expect this trend to continue. We forecast modest declines in its selling, administrative and R&D expense ratios over 2026/27/28F, with combined expense ratios at 9.4%/9.1%/9.0% over the same period.

Fig. 7: First Tractor – Key financial forecasts

CNYmn		2024	2025	2026F	2027F	2028F	2026-28F CAGR
Total revenue		11,904	10,823	11,501	12,318	13,222	7%
	y-y		-9%	6%	7%	7%	
Agricultural machinery		10,957	9,893	10,495	11,242	12,041	7%
	y-y		-10%	6%	7%	7%	
Power machinery		2,929	2,615	2,721	2,831	3,032	5%
	y-y		-11%	4%	4%	7%	
Inter-segment eliminations		-1,982	-1,685	-1,714	-1,755	-1,850	3%
	Change in eliminations		15%	-2%	-2%	-5%	
Gross profit		1,759	1,639	1,782	1,941	2,109	9%
	y-y		-7%	9%	9%	9%	
Agricultural machinery		1,488	1,389	1,515	1,657	1,799	9%
	y-y		-7%	9%	9%	9%	
Power machinery		321	283	300	318	347	7%
	y-y		-12%	6%	6%	9%	
Overall gross margin		14.8%	15.1%	15.5%	15.8%	16.0%	
Operating expenses							
Selling expenses		156	165	163	163	175	
	As % of total revenue	1.3%	1.5%	1.4%	1.3%	1.3%	
Administrative expenses		355	341	351	364	377	
	As % of total revenue	3.0%	3.2%	3.1%	3.0%	2.9%	
R&D expenses		516	549	572	601	638	
	As % of total revenue	4.3%	5.1%	5.0%	4.9%	4.8%	
Aggregate selling, administrative and R&D expenses		1,028	1,055	1,087	1,127	1,190	
	As % of total revenue	8.6%	9.7%	9.4%	9.1%	9.0%	
Operating profit		1,046	918	988	1,126	1,279	12%
	y-y		-12%	8%	14%	14%	
Net profit		922	812	911	1,028	1,155	12%
	y-y		-12%	12%	13%	12%	

Source: iFind, First Tractor 2024-25 annual reports, Nomura estimates

Our 2026-28F revenue forecasts are 1.4%/2.3%/7.0% below Wind consensus, reflecting our relatively cautious assumptions for domestic large-tractor demand growth, export growth and the recovery in small- and medium-horsepower tractor demand under the current macro environment. Our 2026F net profit is 0.8% above consensus, while our 2027/28F forecasts are 2.7%/3.9% below. In the near term, we are more optimistic about gross margin recovery driven by the shift toward high-horsepower and high-end products. Over the medium to long term, uncertainties over agricultural machinery purchase subsidies leads us to take a more cautious view than consensus on earnings growth.

Fig. 8: First Tractor – Nomura estimates vs. Wind consensus

	Nomura estimates			Wind consensus			Diff. (%)		
CNYmn	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Revenue	11,501	12,318	13,222	11,662	12,614	14,222	-1.4	-2.3	-7.0
Net profit	911	1,028	1,155	904	1,057	1,203	0.8	-2.7	-3.9

Note: Wind consensus data as of 22 July 2026.
Source: Wind, Nomura estimates

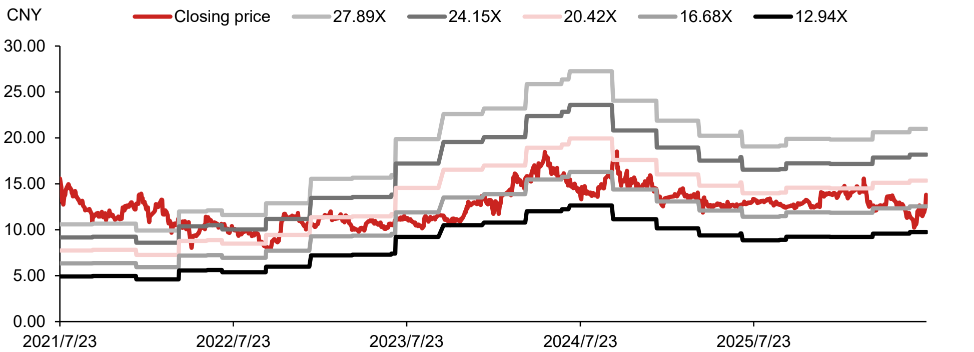
Valuation methodology and risks

Initiate at Buy with a TP of CNY16.21, implying 18.7% upside

Given the company's status as a leading agricultural machinery manufacturer in China with relatively stable profitability and cash flow, we adopt a P/E-based valuation approach.

We apply a 20x target P/E, broadly in line with the stock's five-year historical P/E average, to reflect the agricultural machinery industry's cyclicality and the company's long-term earnings growth outlook. Applying this multiple to our 2026F EPS of CNY0.81, we derive a target price of CNY16.21, implying 18.7% upside. We initiate coverage on the stock with a Buy rating.

Fig. 9: First Tractor – P/E (TTM) band



Note: Priced as of 22 July 2026.
Source: iFind, Nomura

Key downside risks

1) **Weaker-than-expected domestic demand:** Tractor demand is highly dependent on farming economics. If staple and cash crop prices remain weak while fertilizer and fuel costs stay elevated, payback periods for farms and large-scale growers could lengthen. Even if policy support favors high-horsepower models, replacement and new-purchase demand from scaled farming operators could weaken materially, in our view.

2) **More intense industry competition:** Weichai Lovol (Not listed) and Zoomlion (000157 CH, Not rated) continue to increase investment in the above-100hp heavy-duty tractor segment and expand their high-end powershift and CVT product portfolios. Meanwhile, regional agricultural machinery manufacturers are competing aggressively on price in local markets, which could further intensify competition in large tractors, in our view.

3) **Uncertainties in overseas operations:** The company's large-tractor exports are mainly sold to Central Asia, Russia, Eastern Europe and Africa. Geopolitical conflicts and political instability in these regions could delay orders and increase collection and bad-debt risks. Higher import tariffs and tighter emissions and market-access requirements in certain countries could also raise export costs and slow overseas deliveries, in our view.

4) **Slower-than-expected development of advanced technologies:** The industry is rapidly shifting toward CVTs, autonomous driving and integrated intelligent agricultural machinery solutions. If the company is slow to commercialize its R&D or its high-end large-tractor technologies lag competing products, its technology barriers in the high-horsepower segment could gradually erode, putting its market share under pressure.

Appendix A-1

This report has been produced by Nomura Orient International Securities Co., Ltd., the People's Republic of China.
See Disclaimers for Nomura Group entity details.

Analyst Certification

We, Fan Zhang, Jingshu Fang and Yueting Tu, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

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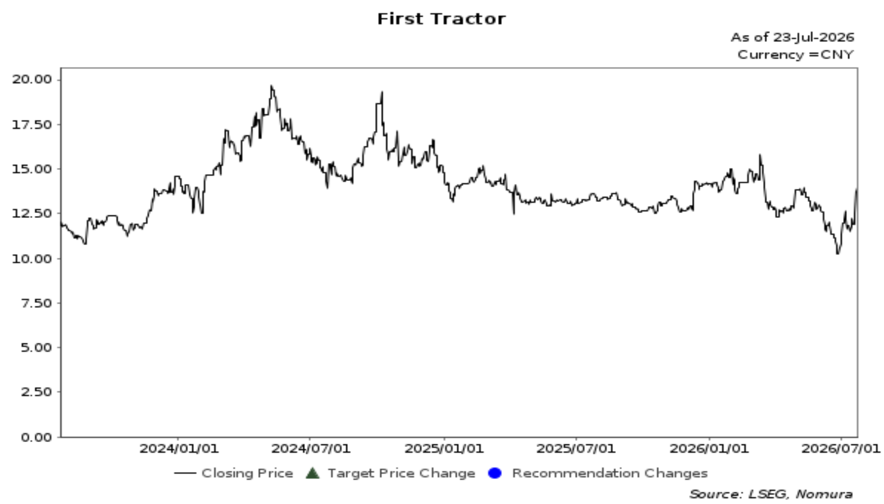
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
First Tractor	601038 CH	CNY 13.98	23-Jul-2026	Buy	N/A	

First Tractor (601038 CH) **CNY 13.98 (23-Jul-2026) Buy** (Sector rating：N/A)

Rating and target price chart (three year history)



Date	Rating	Target Price	Closing price

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We apply a 20x target P/E, in line with the stock's five-year average trailing P/E. Applying this multiple to our 2026F EPS of CNY0.81 yields a TP of CNY16.21. The benchmark index for the stock is the CSI 300 Index.
Risks that may impede the achievement of the target price Key downside risks include weaker-than-expected domestic agricultural machinery demand, more intense industry price competition, slower-than-expected overseas expansion and delays in high-end product development.

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